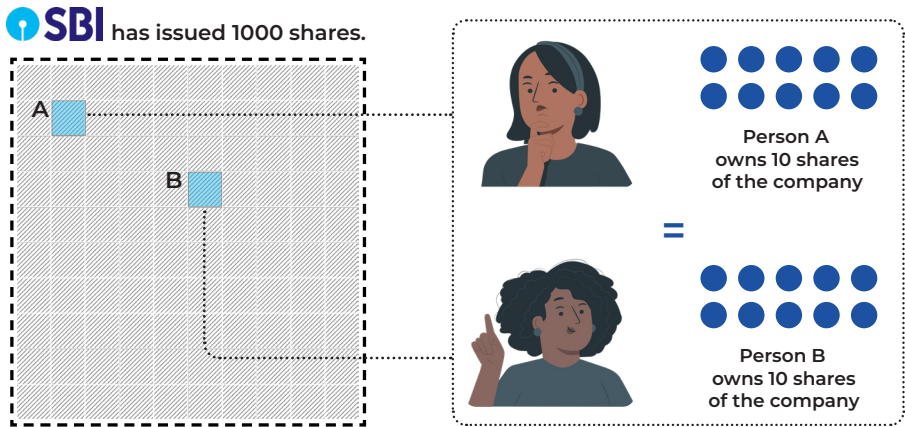
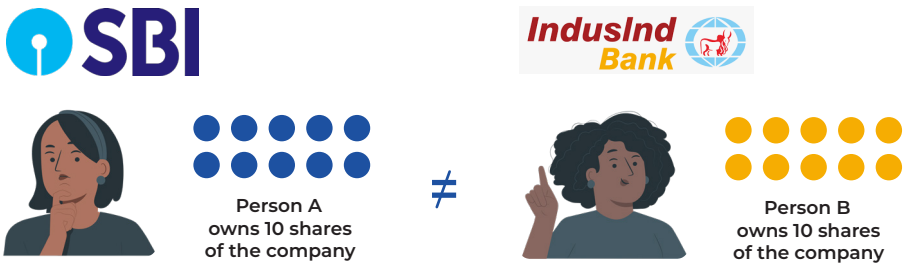


For example,



It is important to note that if you own 10 shares of the company it represents the same value as someone else who has 10 shares of the same company. This essentially means that all the pieces of land i.e. shares behave in the exact same manner irrespective of who owns them. This means each share behaves as per the overall company performance and that is what we will learn to evaluate.



What is Market Capitalization?

Market capitalization refers to the entire number of outstanding shares in the market multiplied by the current price of each share. It determines the total value of a firm as of today.

$$\text{Market Capitalization} = \text{Price per Share} \times \text{Total No. of Shares Issued}$$